Many in Assam also believed that Mahanta's antagonism arose because the Tatas had refused to fund AASU during the elections. In an interview with a newsmagazine, Baruah was asked for his views on the Assam government's policy of singling out the Tatas. Baruah said, 'Ask that question to Prafulla Mahanta. As far as I know, the Tatas refused payment to the AGP [Asom Gana Parishad] before the last assembly election and Mahanta was upset. Now he has got a chance to settle scores with them.'

Mahanta's approach brought the Tata Group and Ratan in direct confrontation with the state government. As militancy began to rise after Mahanta's re-election, the Union government questioned the state government on the increasing lawlessness in the state. The state government had to be seen to be doing something and began to rein in the militants. When the ULFA realized that the AGP, once their ally, had turned against them, they made unsuccessful attempts to kill both Mahanta and other AGP leaders. One such attempt was on 7 June 1997 and it led to Mahanta taking 'an important decision: there would be a crackdown on the banned United Liberation Front of Asom (ULFA)—at least for public consumption', wrote a leading newsmagazine.

Even as the security situation took a turn for the worse in Assam, in June 1997 a woman named Bonti Baruah was treated at Jaslok Hospital, Mumbai, under the Tatas' Medical Aid scheme. She was suffering from a blood disorder associated with pregnancy. Subsequently, she went back to Mumbai for her baby's delivery in August that year.

On 23 August, Bonti Baruah arrived at Mumbai's Santacruz Airport in a taxi along with her infant. A ramshackle auto-rickshaw pulled up along the kerb at the same time. Bonti stepped out of the taxi and started walking towards the airport entrance. Two men stepped out of the auto-rickshaw and followed her at a discreet distance.

A few metres from the airport entrance, Bonti was stopped by four policemen who arrested her. It turned out that she was actually Pranati Deka, ULFA's cultural secretary and the wife of the organization's finance secretary, Chitrabon Hazarika. Intelligence officers from Delhi had been following her for two months. She was arrested as she was about to board her flight back to get to her hideout in the foothills of Bhutan. The two men accompanying her were her bodyguards, Kamal Barua and Phanindra Medhi.